



Risk tolerance

Assessing risk tolerance is an important consideration when investing. Investors should have a realistic understanding of their ability to cope with large swings in the value of their portfolio.

How it works

To assess risk tolerance, investors should review worst case scenarios for different asset classes to see how much money they might lose in bad years, and gauge how comfortable they feel about such losses. Factors affecting risk tolerance include timescales, future earning capacity, and personal circumstances. In general, the longer the timescale the more risk an investor can take. Investors also need to assess how much money they can afford to lose without it affecting their lifestyle. Even for high net worth individuals with very large sums available as liquid assets, investing a small percentage of capital is wiser than investing a large one.

Investor types

Fund managers and financial advisers often provide risk-profile questionnaires to individual investors to help them determine which investments best suit them. The questionnaires examine an investor's tolerance to risk, time frame, objectives, and investment knowledge.

Conservative

Investors who are unwilling to take much risk and are happy to accept lower returns as a result might prefer a portfolio that has a significant proportion in cash or assets with guaranteed returns such as bonds.



5 KEY FACTORS THAT AFFECT RISK TOLERANCE

Investors need to consider these factors and choose investments to fit the risk-return trade-off that they are comfortable with.



Time frame The period over which investment will be made. More risk may be taken over a longer time frame.



Risk capital The money available to invest or trade which, if lost, should not affect an investor's lifestyle.



Investment goals Objectives such as funding for education or retirement.



Experience An investor's understanding of assets and risk, and experience of past investments.



Risk attitude An investor's stance on losing his or her investment capital.

